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UNIT VIII INTERNATIONAL BUSINESS

CHAPTER 27

FACILITATORS OF INTERNATIONAL BUSINESS

DYSVCD

கேடறியாக் கெட்ட இடத்தும் வளங்குன்றா
நாடென்ப நாட்டின் தலை. -குறள் 736

Couplet:

The learned say that the best kingdom is that which knows no evil (from its foes), and, if injured (at all), suffers no diminution in its fruitfulness.

Learning Objectives

To enable the students to

i. explain the meaning, objectives and functions of WTO
ii. discuss the importance and functions of World Bank
iii. understand the objectives and functions of IMF
iv describe the role of SAARC



Headquarters of WTO at Geneva

27.01 World Trade Organisation (WTO)

International business involved complex issues among various countries way back in 1950's. A keen need then was felt to establish separate mechanism for regulating and controlling trade relation across the countries around the world. As a result, the General Agreement on Tariffs and Trade. (GATT) was signed at Geneva on 30th October 1947 by 23 countries. It came into effect on 1st January 1948. GATT was a multilateral treaty. It laid down rules and regulations for conducting international trade. GATT achieved many success but various countries felt the need to create a new international body to replace the GATT. The GATT which remained in force from 1948 to 1994 thus came to an end with the establishment of World Trade Organisation (WTO) on 1st January 1995.